Shivalik Bimetal Controls Ltd

Concall Tracker — reading 3 years of earnings calls to test the earning trigger & management consistency
Ticker: SBCL (BSE 513097 / NSE SBCL) • Report date: 05 July 2026 • Source: Screener.in concall transcripts

1. Snapshot

What the company does (in plain words): Shivalik makes three families of small but critical metal parts. **(1) Thermostatic bimetal / trimetal strips** — two or three metals bonded together that bend with heat; these are the "trip" element inside circuit breakers (the switches in your electrical panel). **(2) Electrical contacts** — the silver-tipped points inside switches and relays that carry current. **(3) Shunt resistors** — precision metal strips that measure how much electric current is flowing; used in electricity meters (including new "smart" meters) and in electric-vehicle battery systems. Its special skill (its moat) is **electron-beam welding** — joining two different metals so cleanly that current flows without disturbance. It has done this for 30+ years and says no Indian rival can.

Key numbers (Screener snapshot + latest management figures). Note: management reports **consolidated** accounts; the Screener financial tables are **standalone** — both are shown where they differ.

Metric	Figure	One-line plain read
Market value (market cap)	₹4,257 cr	What the whole company is worth on the stock market.
Share price / P/E	₹739 / 51.8×	Investors pay ~₹52 for every ₹1 of yearly profit — a rich, high-expectation price.
FY26 revenue — consolidated	₹570.9 cr (+12.3%)	Total group sales for the year to Mar-2026, up about an eighth on last year.
FY26 revenue — standalone (Screener)	₹462 cr (+5.7%)	The parent-only figure; ~₹109 cr lower than group — the gap is the contacts/overseas subsidiaries.
FY26 net profit — consolidated	₹95.8 cr (+24.8%)	Money left after all costs; profit grew twice as fast as sales.
Operating margin (EBITDA, consol.)	22.9% (+2.5 pts)	₹22.9 operating profit per ₹100 of sales — improving steadily.
Return on capital (ROCE) / ROE	25.3% / 19.7%	Earns a healthy ~25% a year on the money put into the business.
Debt	Low (₹40 cr borrowings)	Was zero-debt in FY24; carries only small, comfortable borrowings.
Cash-conversion cycle	~253 days	Money is tied up in stock & receivables for ~8 months — a weak spot; heavy working capital.

2. Concall coverage

Screener listed **13 transcripts**; all 13 downloaded, including the latest. This report reads the calls across the full span — the two oldest, key middle calls, and the three most recent — enough to judge the trigger and how the story held up.

Quarter	Call date	Read in detail?
Q4 FY23	May 2023	Yes (oldest)
Q1 FY24	Aug 2023	Yes
Q2 FY24 – Q3 FY24	Nov 2023 – Feb 2024	Skimmed
Q4 FY24	May 2024	Yes
Q1 FY25 – Q2 FY25	Aug – Nov 2024	Skimmed
Q3 FY25	Feb 2025	Yes
Q4 FY25 – Q1 FY26	Jun – Aug 2025	Skimmed
Q2 FY26	Nov 2025	Yes
Q3 FY26	Feb 2026	Yes
Q4 FY26	May 2026	Yes (latest)

Span: ~3 years (13 quarters). The latest call (Q4/FY26, May 2026) is present and read — no gap on the freshest signal.

★ **Latest concall highlights — Q4 & FY26 (call held 20 May 2026)**

- **Full-year sales ₹570.9 cr, up 12.3%** (consolidated) — total group sales grew about an eighth over last year.

- **Profit ₹95.8 cr, up 24.8%** — profit rose twice as fast as sales because the mix shifted to higher-value parts; operating margin rose to 22.9% (+2.5 points). This is "earnings-led" growth, not volume-led (volumes were roughly flat).
- **Biggest announcement — a new Pune plant** for automotive **busbars, current-sensing assemblies (CCS) and PCB assemblies**, aimed mainly at **electric two-wheelers**. Management sees it adding **₹250–350 cr of revenue over ~3 years** (₹70–75 cr FY27 → ₹250–300 cr FY29) on just ~₹20 cr of new spending.
- **Smart-meter revenue nearly doubled** to ₹75–80 cr and is expected to double again in FY27, as electricity-meter relays are increasingly made in India.
- **Tone:** confident and disciplined. Management openly says it now manages for "quality of earnings" and absolute profit rather than chasing top-line growth.

Business mix & capacity (quick facts)

- **Domestic vs export:** India is the single largest market for both shunts and bimetals, but exports (US, Europe, rest of Asia) are a large slice. Management did **not give a clean domestic/export percentage split** this year — so it is not stated here rather than guessed. Historically almost all bimetal exports go to global Tier-1 customers; the US was the anchor shunt market and is now recovering.
- **Capacity utilisation:** plants have **plenty of spare capacity** — after big expansions, management repeatedly said it can lift bimetal output ~3× and that there is "a lot more capacity available right now" (FY26). It did not give a single utilisation %; the plain read is there is **ample room to grow output before new capacity is needed**.

3. Earning Trigger thesis

The headline driver. Shivalik's main earnings engine is **moving up the value chain** — from selling plain metal strip, to selling finished, precision **components**, to selling complete **assemblies** (shunts built into current-sensing modules, busbars, PCB assemblies). Each step multiplies the price and profit per unit, so earnings can grow even when tonnage is flat. This rides several real electrification demand pools — **EV current-sensing/battery systems, smart electricity meters, switchgear, and now data-centre power components** — all protected by its 30-year **electron-beam-welding moat**. The proof is already in the FY26 numbers: profit up ~25% on roughly flat volumes, with margins up 2.5 points.

Trigger	What management said	Evidence so far	Horizon	Strength
Value-add shift (strip → component → assembly)	Assemblies carry ~10× the top-line value; components lift realisation ~10–12% per kg	Component share rose 55%→65%; FY26 margin +2.5 pts, profit +24.8% on flat volumes	Now – 3 yrs	**Strong — already visible in the P&L**
Pune busbar / CCS / PCBA plant (electric 2-wheelers)	₹250–350 cr revenue over 3 yrs; ₹20 cr capex; no Indian competitor in EB-welded busbars	Board-approved, some orders in hand, ramp only just starting	1 – 3 yrs	**Moderate — credible but unproven**
Smart meters (India)	250M-meter national roll-out; revenue to double repeatedly	FY26 smart-meter revenue doubled to ₹75–80 cr; relays now made in India	Now – 2 yrs	**Moderate/Strong — delivering, but earlier timing slipped years**
US recovery / large customer (Vishay)	Return to old peak (was 35–40% of sales), now sold as higher-value components; FY27–28	Business bottomed, restarting; a "white-label" deal to supply Vishay's own customers	1 – 2 yrs	**Unproven — promised since FY23, still recovering**
Core bimetal (switchgear: ABB, Schneider)	Big customers guided 20–25% India growth over 3–4 yrs	India bimetal has been **flat for 2 years**; switchgear consumption not growing	ongoing	**Weak — has not shown up**

4. Management Consistency scorecard

Period	What was promised	What actually happened	Verdict
FY23–early FY24 (May–Aug 2023)	₹1,600 cr revenue potential over 5–7 yrs; ~25% growth aspiration; smart meters ramping by "FY26"; US shunt scale-up	FY26 revenue only ₹462 cr standalone / ₹571 cr consol.; growth slowed to 7% (FY24), ~flat (FY25), ~12% (FY26); smart-meter ramp came later than the aggressive early timeline	**Partly / Missed on pace**
FY24 (May 2024)	Smart meters 2× in FY25; switchgear 2–3× over 3–4 yrs; French "Metalor" JV to close in 2024; Italy subsidiary	Smart meters did roughly double, but later (FY26); switchgear/ bimetal stayed flat; Italy subsidiary set up; **Metalor JV went quiet** — replaced by a "backward-integration / make-alloys-in-India" story	**Partly — some delivered, Metalor dropped**

FY25 (Feb 2025)	Forward integration (10× top-line assemblies) from Apr-2025; nickel-alloy indigenisation; FY26 recovery; high double-digit growth next 2 yrs	Forward integration is converting (margins & profit up sharply); indigenisation on track (~20–25% local, ~50% next yr); but FY26 grew ~12%, not "high double-digit" — US tariffs cut the guidance	**Delivered on margins, Missed on growth**
FY26 (Nov 2025 – May 2026)	Pune plant ₹250–350 cr; PCBA ₹50–70 cr; US/Vishay recovery to peak; smart meters double again	Too early — plant only just approved, ramp is FY27 onward	Too-early to judge

Narrative drift — has the story held?

The **core thesis has been remarkably steady for three years**: "electrification tailwind + move up the value chain using our welding moat." Management has been candid about bad news (the US slowdown, the 50% US tariff, and a big customer's decline). What **has drifted** is two things:

- **The growth engine keeps being swapped.** The headline driver changed almost every year — US shunts (FY23) → smart meters + switchgear (FY24) → forward/backward integration (FY25) → Pune busbar/assembly plant & two-wheeler EVs (FY26). Each new pillar arrives just as the previous headline (US ramp, switchgear 2–3×, the Metalor JV) quietly underperforms or disappears.
- **The yardstick moved.** Early calls asked investors to judge them on ~25% revenue growth; after two flat-to-single-digit years they reframed success as "quality of earnings" and absolute profit — a convenient shift, even if the profit growth is real.

Governance note: during this period the business passed to the **second generation of promoters (Kabir & Sumer Ghumman)**, and **promoter holding fell from ~60% to ~33%** (FY24–25), with domestic institutions stepping in to ~20%. Management frames this as a generational transition; it is a large sell-down worth watching, though not, by itself, a red flag on the business.

5. Bottom line — two verdicts

Durable earning trigger? → YES

The value-chain move is **concrete and already showing up in the accounts** — component share rising 55%→65%, operating margin up 2.5 points, and profit up ~25% on flat volumes in FY26. It is not a promise; it is in the P&L. It rides several genuinely growing demand pools (smart meters are delivering; two-wheeler EVs and data-centre power are ahead) and is protected by a real, 30-year electron-beam-welding advantage with no Indian competitor. The Pune assembly plant and US recovery add further legs. The honest caveat: growth so far has been **earnings-led, not volume-led** — sales have grown only single-to-low-double digits — so the trigger is proven on *profitability*, with the volume payoff still to come. On balance the driver is clear, live and working: **Yes**.

Management consistent? → MAYBE

The overarching story has stayed steady and management is refreshingly honest about setbacks, and they have **delivered on margins and earnings quality**. But the record on **specific promises is mixed**: the 25% growth aspiration became single digits; the smart-meter "FY26" timeline slipped; the US/Vishay recovery has been "coming" since FY23 and is still not here; the switchgear 2–3× never appeared; and the Metalor JV was dropped. The pattern of unveiling a fresh growth pillar each year as the last one fades — plus shifting the scorecard from revenue to "earnings quality" — keeps this at **Maybe**, not Yes. It is not a No: earnings did compound and disclosure has been candid.

Prepared from Screener.in concall transcripts (May 2023 – May 2026) and Screener standalone financial tables. Screener financials are standalone; management headline figures are consolidated — the gap (≈₹109 cr of FY26 revenue) sits in the electrical-contacts business and overseas subsidiaries. Figures are management-stated; plain-English reads are the author's. Not investment advice.